

The scheme, which has been tailor-made for EV giants like Tesla, reflects the government's ambition of becoming a manufacturing hub. India has set a target of 30% EV penetration by 2030 in line with its ambitious aim of reaching net-zero emissions by 2070. However, despite the government's support, EV penetration in the passenger vehicle segment currently stands at a paltry 2%. The government hopes to jump-start the EV adoption rate through this new policy. "The benefit of this policy would be that a lot of technology will come into India. It could be technology related to batteries or motors, or motor control units or anything else associated with the EV infrastructure like charging, etc.," notes Rajat Mahajan, Partner and Automotive Sector Leader at professional services major Deloitte India.

Notably, as participating manufacturers ramp up production to meet localisation milestones, i.e. 25% domestic value addition within three years and approximately 50% domestic value addition within five years, the demand for local suppliers—battery producers, electronic parts, chargers—will surge, strengthening domestic supply chains.

According to Mahajan, the localisation norms would help elevate the capabilities of domestic suppliers. "With the localisation requirements, they will need to work with the local supplier community, which also elevates the capability of the suppliers," says Mahajan.

Gurusharan Dhillon, Director of eMobility at Customised Energy Solutions (CES), says that the new EV policy strikes a strategic balance between customs duty concessions linked to investments, defined domestic value addition milestones, and the inclusion of engineering research & development, software, testing, and charging infrastructure.

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The Scheme to Promote Manufacturing of Electric Passenger Cars in India offers reduced import duties

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Approved applicants will be allowed to import electric four-wheelers with a minimum CIF value of \$35,000 at a reduced customs duty of 15% for five years

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The selected automakers are required to make a minimum investment of ₹4,150 crore

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The number of EVs allowed to be imported has been capped at 8,000 units per year

"These are crucial in facilitating the introduction of advanced global technologies, nurturing indigenous manufacturing capabilities, and building a robust supply chain ecosystem within India," says Dhillon.

To qualify, manufacturers must meet revenue targets of ₹2,500 crore by the second year, ₹5,000 crore by the fourth year, and ₹7,500 crore by the fifth year. Eligible applicants

must have global automotive revenue of at least ₹10,000 crore (or ₹3,000 crore for investment firms).

While the government is awaiting Tesla's commitment on manufacturing in India, other global giants such as Mercedes-Benz, Škoda, Volkswagen, Hyundai, and Kia, are reportedly keen on investing under the scheme. The application window is expected to open soon for a period of 120 days.

Experts, however, warn that a new entrant may find it challenging to export a minimum of 8,000 units. According to Deloitte's Mahajan, if the CIF value of a car is around \$35,000 (₹29–30 lakh), adding 15% import duty along with dealer margins and distribution costs could push the final retail price to ₹45–50 lakh in India. At this price point, a manufacturer would need to sell around 5,000 units to meet early revenue targets, which is quite ambitious.

"Selling 5,000 cars in two years is difficult. Because the luxury market in India is still around 2% of the total passenger vehicle market. The biggest player in India in the luxury space right now might be selling 18,000 to 20,000 units a year," observes Mahajan. India has seen long established players struggle to sell anywhere from 5,000 to 7,000 units. So, a new player selling 5,000 cars in year two and 10,000 cars year four looks challenging, he adds.

There are other challenges, too. The key among them is the near halt in Chinese exports of rare earth minerals to India. These are vital for the manufacturing EVs, and many firms are bracing for a severe impact in the near term.

The government is considering relaxing the localisation norms considering the rare earth crunch. **BT**

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